

API facility in Canada and Aarti Industries is expanding the capacity of its USFDA-approved API facility in Vapi, Gujarat, with plans to produce a new range of APIs.

PLI SCHEME FOR BULK DRUG PARKS

This provides for financial assistance to create common infrastructure facilities at bulk drug parks. However, it has not evoked a lot of interest. So far, only three states—Telangana, Himachal Pradesh and Gujarat—have received approvals to set up these parks. And against a target investment of ₹4,138 crore, this segment has attracted investments of only ₹2,019 crore. “India has lost the advantage of bulk drug manufacturing over the years. China has built its presence because of the support received in multiple areas, from plant prices, interest rates and power subsidies, among others. Regaining the advantage and achieving self-reliance will be a long process,” explains Sudarshan Jain, Secretary General of Indian Pharmaceutical Alliance.

The cost of production in India is 50 per cent less than in developed nations, but it is still around 18 per cent higher than China. This is attributable to “raw materials being 25-30 per cent costlier, electricity being 20 per cent more expensive, and other costs such as financing, logistics, transportation, etc., being 30 per cent more expensive”, says Arindam Gupta, Executive VP of Healthcare and Life Sciences at iLattice, a tech-enabled consulting, research and advisory firm.

Pharma companies believe that the scheme is restrictive in nature and does not provide a lot of support to innovation, which would make it worth participating in. Arushi Jain, Director of Akums Drugs & Pharmaceuticals, says the scheme is restrictive not just for the domestic market but also from the point of view of exports. “In India, R&D incentives account for 7.5 per cent of total tax incentives, but the pharma R&D incentives stand at just 2.3 per cent. The current PLI scheme can be expanded to link it to research for efficient production and sustainability of the domestic and export markets,” she says.

Glenn Saldanha, Chairman & MD of Glenmark Pharmaceuticals, has a solution. “The PLI scheme should be linked to research and innovation. India is a powerhouse in the pharma industry today... There are many areas where we built a lot of capabilities. The one missing piece is the pure innovation, particularly on the biologics side,” he says. Agrees Mahima Datla, MD & CEO of Vaccines and Branded Formulations at Biological E: “Any support for the generics business, moving up the value chain, fermentation-based APIs, high potency intermediates and peptide-based APIs, interests us. We already are among the highest R&D spenders at 15-16 per cent.”

BOOSTER SHOT

An overview of the incentives available under the PLI scheme for various pharma segments

Financial outlay (₹ crore)	Duration	Focus
15,000	FY21- FY29	To promote manufacturing of pharmaceuticals, including APIs
6,940	FY21- FY30	To promote local production of critical key starting materials, drug intermediates and APIs
3,420	FY21- FY28	Provides 5 per cent incentive on incremental sales of medical devices made in India
3,000	FY21- FY25	Will provide financial assistance to build common infrastructure facilities at three bulk drug parks

PLI FOR MEDICAL DEVICES

Launched in March 2020, this segment of the scheme aims to establish domestic capabilities in manufacturing high-end medical devices, especially those that are being imported. The success of this segment is also very limited, as there are not many manufacturers for high-end devices around the world. “So, it’s understandable that hardly 10-20 per cent of these will consider taking the risk to make in India, especially with a lack of investments, protective tariffs and an unpredictable regulatory implementation framework,” says Rajiv Nath, MD of Hindustan Syringes & Medical Devices.

Amid this, a parliamentary panel on health has urged the government to consider expanding the scope of the PLI scheme to other import-dependent medical devices and incentivise manufacturing of critical raw materials and components. “While some of these medical technologies require big-ticket capex, there are others that are niche products that do not demand very high capex. We have been requesting [the government] to widen the scope of the scheme to encourage investment by domestic champions,” says Nath, also the Forum Coordinator at the Association of Indian